IL54: Why Smart Investors Keep Making Crazy Decisions ft. Alex Edmans

Podcast: Top Traders Unplugged

AI Executive Summary

1. Core Thesis: The episode posits that market movements are driven disproportionately by human psychology and sentiment rather than objective fundamentals alone, creating predictable inefficiencies that rational investors can exploit. While professionals often hold data advantages, individuals frequently possess a superior "endurance game" due to freedom from benchmark constraints and short-term career pressures. Smart investors succeed not by outsmarting the market with facts but by outlasting it through judgment, specifically by recognizing behavioral biases like momentum underreaction and the disposition effect while applying practical tools to mitigate their own emotional decision-making errors.

2. Key Arguments & Data:

3. **Sentiment Drives Price:** Sentiment impacts stocks significantly more than pure fundamentals; when England lost the World Cup, the UK market fell approximately 0.5% in value ($10 billion), proving negative mood affects markets even with positive economic news. Conversely, Brazil's stock market rose after their 7-1 defeat due to domestic political sentiment regarding President Dilma Rousseff.
4. **Music & Mood Correlation:** National Spotify playlist valence (happiness/sadness) correlates significantly with equity prices and is negatively correlated with government bond prices, suggesting optimism drives funds into riskier assets.
5. **The Endurance Game:** Professionals are often overly conservative due to benchmark constraints and career risk. In 2009, professional managers avoided equities fearing a crash, while individual investors (e.g., the author) and institutions like Clare College invested in equities with 30-40 year horizons without external client pressure.
6. **Momentum & Crash Risk:** Momentum is driven by market underreaction to news; however, it suffers violent crashes. The strategy works best when volatility (VIX) is high as a predictor for momentum failure. Professionals often avoid this because they fear losing their job or reputation during these rare 1% crash events.

7. **Active Share & Conviction:** Funds that deviate from benchmarks ("active share") generally demonstrate better performance than those "hugging" the index, as active sharing implies conviction based on unique expertise rather than career safety. Passive benchmarking often rewards managers for doing nothing more than an index fund while charging higher fees.
8. **Corner Strategies:** "Level 2" momentum strategies (e.g., small caps with negative earnings) are exploitable by individuals but difficult to execute at scale due to liquidity constraints, a niche where individual investors may outperform large funds.
9. **Round Number Effect:** Stocks avoid trading at exact round numbers (e.g., $100 or $12,500); limit orders placed exactly at these integers often fail because of opposing pressure from other traders' sell/buy orders.
10. **Disposition Effect:** Investors tend to lock in gains and hold onto losing positions longer than they should, driven by a psychological need to avoid admitting mistakes, often compounded by tax implications on realized gains.

11. **Big Market Delusion:** Valuations of entire sectors (e.g., AI hyperscalers or EVs) can become implausible if adding individual company valuations exceed the industry's true market size, creating bubble risk for the whole sector.

12. Actionable Takeaways:

13. **Know Your Edge:** Identify your competitive advantage. Professionals have information edges; individuals should leverage their freedom from benchmarks to play a "long game" (30-40 years) or specialize in themes (e.g., workplace culture) that apply across sectors.
14. **Avoid Benchmark Traps:** Evaluate active fund managers on whether their deviations from the benchmark reflect true conviction and expertise or merely career risk management ("active share"). Avoid funds where the manager avoids risk to stay above a baseline rather than delivering alpha.
15. **Outsource Ugly Decisions:** Implement external decision-makers for difficult trades (e.g., stopping losses, selling losers). Use "kill criteria"

to define conditions under which you must exit without having to emotionally justify it yourself.

16. **Reduce Portfolio Checking Frequency:** Check your portfolio less often to avoid trading on old news and price-information effects; frequent checking encourages buying high/selling low rather than long-term holding.
17. **Write Down Both Sides of the Trade:** Physically record your investment thesis (positive reasons) and counter-thesis (negative reasons/kick criteria) before execution. This internalizes information better than mental processing and prevents blame-shifting later.
18. **Roll Over Positions to Combat Disposition Effect:** If you must sell a losing stock, immediately reinvest the proceeds into a new holding rather than admitting defeat at the old one. This allows you to take your "loss" without emotionally closing that specific position, enabling better long-term management.
19. **Adjust Limit Orders for Round Numbers:** Do not set limit orders or triggers at exact round numbers (e.g., $100) due to psychological barriers and opposing trader orders; adjust slightly (e.g., $99.90 or $125.10) to improve fill probability.
20. **Avoid the Big Market Delusion:** Recognize when sector valuations aggregate to implausible levels (e.g., AI, EV); this may indicate a collective bubble risk rather than genuine opportunity in every company within that theme.

Full Transcript

I'm not so worried about missing out on perhaps future gains by not sitting at the absolute top because I know that it had had a really good ride. What I want to avoid is if we are in a bubble, if we are in a big market delusion and the whole market then turns south as it did for electric vehicles in and sort of 20, 22, 23. Welcome to Top Traders Unplugged. In markets, success doesn't come from predicting what happens next. It comes from being prepared for what you can't predict. In each episode, we go deep with some of the world's most thoughtful minds in investing, economics, and beyond to understand how they think, how they prepare, and how they decide and the experiences that shaped how they see the world. No noise, no shortcuts, just real conversations to help you think better and invest with confidence.

Welcome everyone to Top Traders Unplugged. My name is Kevin Coldiron and I'm host of the Ideas Lab series where we talk with authors of new books that help us understand and navigate the global economy. Our guest today is Alex Edmonds. He's a professor of finance at London Business School and a leading expert on market psychology. You may have read about his research in the FT or the Wall Street Journal or you may have read one of his books. He's the author of May Contain Lies, which was an Amazon number one bestseller and also Grow the Pie, a Financial Times book of the year. Alex is here today to talk about his new book just out in September called The Madness of Markets, Why Smart Investors Make Crazy Decisions and How to Exploit Them. Alex, thanks so much for joining us and welcome to the show. Thanks so much for having me on, Kevin. It's great to be here.

First of all, shout out London Business School. That's where I studied finance and started using a lot of the ideas you actually talk about in your book. I wanted to maybe start off with what you say that mood matters, that sentiment impacts markets in surprising ways. you know, perhaps we can start off with a couple of stories from your own research. I mean, you became well-known early in your career for a paper that looked at the impact of sporting results on markets and then later you looked at the impact of music on markets and you use that as kind of an illustration to

show us that markets are not just driven by you know, raw fundamentals, their sentiment matters a lot. So I was wondering, perhaps you could tell us those stories. Certainly. So while you learned finance at London Business School, I learned at MIT in the US. I did my PhD there. And MIT being MIT, all the professors and my classmates, they were looking at rational quantitative factors. So the price of a stock depends on future dividends and growth rates and inflation and all of that stuff.

But I had just been in the real world, so I was at Morgan Stanley between undergrad and my PhD. And while people are really smart and they're able to devise big Excel spreadsheets, taking those into account, they're also human. I wanted to show that psychology and emotions and sentiment also matters. Now, showing that sentiment affects the stock price is quite difficult, because many factors that affect the mood will also affect fundamentals. For example, if there's a plane crash, yes, people are unhappy, but the stock market might go down not because people are unhappy, but instead because it's bad for the economy. So this is why I looked at crazy things such as soccer results. Why? Because if England lose, that should have no effect on profits or dividends or inflation, except in a few sectors like replica merchandise, but it does cause a huge effect on national mood.

And what I found long story short is that when a country gets knocked out of the World Cup, the market falls significantly the next day. To put some numbers on it, it's about half a percent even when you control for the broader world market movement. And when applied to the UK stock market, that is over 10 billion pounds wiped off the market on a single day. And so why is that so profound? Because you might think, yes, emotions matter. Yes, certain things make me happy or unhappy. But when I am trading, I become rational. I shake that off. I'm a professional who puts my emotions to one side. But what my data shows is that's not the case. You are human and you are affected by emotions even when you're in your job. And therefore we need to be very careful when making investing decisions not to be swayed by these extraneous factors.

What happened to the London stock market after they lost to Argentina this summer? So that actually opened about 0.5% down. And interestingly,

Yahoo Finance attributed this in part to the England defeat. So because my study was published 20 years ago now, it is somewhat well-known among markets people. And so I was gratifying. They said, oh, it's not necessarily just due to fundamentals, but partly due to this emotional effect. And why is that interesting? Because the morning after the Argentina defeat, There was good economic news, I think the UK had like the highest growth rate for the last 13 months, yet it opened lower in part because of this negative sentiment indicator. I wonder if people started building negative futures positions when they went into that defensive.

crouch in the second half of the game. Everybody I was watching with and all my friends say as soon as they went into that defensive crouch, then people thought, oh, England are going to lose. More seriously, when Argentina, so when Germany and Brazil, when there was that 7-1 defeat a couple of World Cups ago, you could watch in real time when the goals went in, actually the stock twice is immediately moved. Although surprisingly in that case, that was the one case that moved against me. Why? Because when Brazil kept conceding more and more goals, the stock market went up. And you might think, doesn't that prove me wrong? Well, no, because actually in Brazil, they wanted, the stock market was concerned about Dilma Rousseff, who was the Brazilian president, who was very left-wing. And because she had spent loads of money on stadiums, she had built her identity on the Brazilian football team's success, there was thought that she would not win another election if Brazil got knocked out. So this football mattered in that case, but for other reasons from what it would do normally. Did she lose the election?

She did, I think. I think she did, yeah. So this was the 2014. It was the very famous 7-1 home defeat to Germany. Okay. So you then, you know, you did that work with sports results or sports results impacting markets. Why then did you continue to go down that path? Because later on, I think you did some work on Spotify playlists and markets. Yes, and so that's because there are many many things that could be affecting your emotions So yes, I might be upset because my sports team lost but I might also be upset because I had no argument with my wife or because my kids are sick or because a bird unloaded on my shirt But I'm not going to be able to get data on that as a researcher So instead I thought of something different rather

than looking at the individual drivers of mood, sports results, arguments with spouses, kids being sick. Let me look at the effects of mood. And there is a literature on what's known as behavioral congruence. We take actions which reflect our emotions. So if I'm really happy, I might play walking on sunshine. If I'm really unhappy and I've just broken up with my partner, I might play nothing compares to you.

And so why is music listening something that I want to look at because I can get aggregated data across the whole economy? Why? Because Spotify has a list of the top 100 stream songs where you don't have individual data on things such as kids being sick or arguments with your spouse. And what is interesting is that you can use a algorithm to look at the happiness of a song. Notice this is happiness of the music. Not the lyrics and that's really important because there are some songs with some quite dark lyrics like semi charmed life or I don't like Mondays, which are still quite positive and upbeat songs. And so what we did is we use that algorithm to look at how happy or how sad a country's playlist was as a reflector of national mood. And what we showed was that was also significantly correlated with stock prices. Interestingly, it's also negatively correlated with government bond prices, which makes sense because when you're more optimistic, then you're going to put more money into equities. That money needs to come from somewhere and it will come out of something safer, such as UK government bonds. You know, that measure that you developed for kind of aggregate national mood, is that something that people now publish and track? Is that easy for me to look at? Is the national mood worse now?

You know, part of the reason that the bond market is struggling. Yes. So it's actually a measure that we didn't come up with ourselves. So we stood on this shoulder as sort of giants there. So the MIT Media Lab came up with something. There was a small inner lab there called the Echo Nest. And what they did is they produced measure of valence, which is the happiness of the song. And we downloaded it from their website and we use that as the measure. So it is a measure from Echo Nest, not from us. So that measures out there, people could track that? Yes, you can look at it, although what you can't do, so at the time we were able to scrape that data legally and download the data for a very large time period. Now, I think you

can look at it, I don't think you can scrape it in the same way, but that data is still at least publicly available. Gotcha, gotcha. Okay.

As I'm reading the book, there's a lot of very interesting stories about the ways in which markets are, as you say, it impacted my mood and sentiment, et cetera. And, you know, you say that the goal of your, you know, I guess trying to educate people isn't to, shouldn't be to outwit the market with facts, but to outlast it with judgment. And my question was, do you think that I mean, typically we imagine that professionals have an advantage over individuals, but I wondered if in this respect, perhaps the reverse is the case because individuals have a lot more freedom in the way they can invest. They're not tied to benchmarks. They're not being measured every quarter. They aren't going to get fired if they go to cash. Do individuals in your mind have certain advantages over professionals in exploiting some of these mood and sentiment related ideas.

They may do, and this is quite paradoxical, that actually maybe amateurs may have greater potential to beat the market than professionals. So that is a really bold and controversial statement. So how can I back this up? So at the end of the book, I have a final chapter where I give practical takeaways to improve your own investing decisions. And out of the 20, number two is know your edge. So what do I mean by this? Before you think about investing in the first place, think about what your competitive edge is. So many people think their edge is knowledge. They might say, oh, I have knowledge about AI. I've used AI myself for my own planning. I think AI is going to be the future. But you really don't have edge in knowing about AI because you're going to be trading against lots of professionals who study the AI industry every single day and they have access to management and they are able to understand the power of these algorithms much better. Similarly, I might think, oh, I'm a doctor.

I understand the power of this beta blocker, but again, you're going to be trading against pharmaceuticals analysts who study this every single day. So as an Alameda investor, maybe your edge is not knowledge. It's not unique information because professionals have that. But instead, your edge comes from a different source, which is exactly what you've identified, Kevin. which may well be the ability to be free to be able to play a long game. So I

call this the endurance game. What were you moved by this? In the depths of the financial crisis at the start of 2009, I put a lot of my money into equities. Why? Because I thought the market was really undervalued because of the collapse in the financial crisis. Now, would a professional investor have done the same as me?

No, because it was really difficult to call the bottom. Maybe the market would have crashed even more. And if I put my money in the equities in January 2009, and it goes down by April 2009, then I'm bleeding losses, I might plead with my investors, trust me, it's all going to come better. Just be patient in five years times things will improve. But you won't wait five years. They might pull their money and say, well, I'm going to put it into with another fund manager who is going to be performing better. But for me, investing my own money, I don't have external clients who I need to be concerned about. I'm just investing for my future or my family's future. Back then I didn't have a family, but I thought I might do at some point. And so my time horizon was 30 or 40 years. And so as long as the market was cheap and going to recover over the next five or 10 years, it didn't matter that I didn't call the bottom.

And this applies not just to individuals, but some institutional investors. So Clare College, Cambridge University, they also put a lot of money into equities in 2009. Why? Because they don't have external clients. Instead, their mandate was to fund future research and teaching for the next 30 to 40 years. Yeah, I actually remember that. I think they issued debt to do that, didn't they? They exactly did. So they issued, I think, about 10 million pounds of debt. And so while that 10 million pounds over the next 10 years, I think went up to 15 million pounds because of interest, the equity that they invested in went to 30 million. So it tripled while the interest only increased it by 50%. So you brought up something.

when you were explaining the answer to the last question about professionals having particular, I guess, domain-based expertise and knowledge. So, I don't know, a biotech investor, they might have these expert networks or they might indeed have people on staff who are medical doctors, researchers, that type of thing. And it made me think about when you're an individual investor and you're looking to invest your own money,

should you be looking for specialists versus generalists? And so, I can see the advantage that specialists have in that no one knows more about a particular sector than they do. On the other hand, they are very narrowly constrained in what they can do. And I was wondering if you could...

tell us the Turkish hazelnut story because to me that's an example of where generalists might have an advantage of being able to, you know, search the entire world for opportunities and of course the disadvantage of generalists is that, you know, there's so much to potentially invest in that's very difficult to filter those ideas down. Yes. I'm going to give the typical economist of answer of it depends. So sometimes specialists outperform and sometimes generalists outperform. Allow me to do that one time during the podcast. You can say it depends once. Yes. But I'll say what it depends on. So this is not going to be complete fenceting. So what it depends on is where your expertise lies. So there will be some investors who have genuine expertise in a specific sector. So it may well be that it's run by some exposition.

and they're going to focus on pharmaceuticals because they really understand that particular sector. You don't want them to be investing in retail or textiles or something else. Others might have expertise in a particular theme, so it might be I'm able to understand corporate culture. And so i'm gonna invest in companies with great workplaces be this in pharmaceuticals or financial services or in retail and indeed i invested in such a fun for for many many years it was a fun called the parnassus. workplace fund. And when Moringstar did a study, this was the best performing large cap fund over the last one and three and five and 10 years. So they were using still specialist expertise, but knowing that that expertise could be applied to every sector. And then how does this to go into the hazelnut example? So this is a fund called Terra Nova Capital.

And their expertise is just trying to find stuff which is off the beaten path, news that is clearly very useful, but because it's in the dusty corners of the market, it might be ignored by other investors. And this is what takes us to Hazelnut and Turkey. So in April 2025, there was a huge trust which wiped out a third of the country's Hazelnut co-op. And maybe the listeners are not that familiar with Turkey, but... Hazelnuts to Turkey is what coffee is to Brazil. So this is really big. And it was really big in Turkey and Turkish

language local media covered it. But many Americans or Brits, they don't read Turkish. And so it was not exactly hitting the front page of Bloomberg. And so the wholesale prices became climbing. But there wasn't that change in the stock price. So this fund just noticed it. It flew to Turkey. It found the country's only listed processor sitting on a huge trove of hazelnuts. And so knowing that the price of hazelnuts will go up because of this drought they invested 20 million dollars and when the shortage finally hit the headlines the company's value went up by 40%. So here their insight was well let's try to find relevant news which is ignored by the market perhaps because it's in a different language and I can do this in every sector. So but I will still say that they are specialist in that their trading strategy is trying to find this obscure news rather than saying, well, I believe I can run discounted cash flow models better than anybody else, which might not be so plausible. I see. So you don't see them as generalists. You see them as specialists in a particular type of story almost.

Yes, so specialism can be in theme, not just industry. So we often will think about specialist versus generous as whether you are sector focused or sector diversified, but I would still say, well, they have a specialist theme. I think it's very difficult for a fund to be successful without having that specialism, because otherwise, to answer my question, what is your edge? It's not clear. So even Warren Buffett, even though he invests in lots of different sectors, he will say his edge is able to analyze intangibles, companies with great brands. He helps them build a moat, and he helps protect them from the vagaries of the short term stock market by taking a large stake and allowing them to invest for many years. Just going circling back to this question of performance and benchmarks, and what I think about when I started my career, I actually started in the investment.

management world in the UK in the mid-1990s and that world was dominated by, you know, active investors who really didn't have benchmarks or the benchmarks were very loose. And they had kind of, you know, that had evolved, I think, you know, from the very old days of the Scottish Investment Trusts that were originally set up to just sort of scour the world for investment opportunities. And then we sort of, in some sense, I feel a bit bad about this. We came along and we're like, well, you know, you're not outperforming the market. And, you know, we went to their

investors and said, you'd be better off with an index fund or better off with a risk-controlled fund that was tightly managed relative to market benchmark. And, you know, that was novel in the 1990s. Of course, it's not novel at all today. You know, that's how most funds are run. They're tightly benchmarked. So I guess my question is, have things come full circle now in that, is there so much benchmarking that everyone is tightly constrained and you're better off looking for those that aren't benchmark constrained? Like when you think about your own personal investment, is that a consideration? Do you want people that are tightly constrained to a benchmark?

people that are looking for more absolute returns. Out of every bad and insane practice, there's always a grain or actually more than a grain of sensibility behind it. So often why there are seemingly incorrect practices is a good idea was then just misapplied. So branch marking at its core is fundamentally sound. Why? Because if I'm going to choose to put my money with an active manager, he or she needs to outperform a passive benchmark. Why? Because I might be paying them fees of 75 basis points per year, whereas a passive fund may be charging just five basis points per year. So I don't want to reward the manager for doing well in an upmarket. They need to be doing better than what an index fund would do. So it's absolutely important to have a benchmark which is not zero. You need to be beating what a passive index fund would have done.

But why where this becomes a problem is then if active managers become so conservative that they're afraid of deviating from the benchmark because that then they will underperform. And so they might think, well, as long as I mark it perform, I will still keep my job. And as a fund manager, I'm getting paid very well, and it's a lot of status to be a fund manager. I don't really need to be in the top 10 percentile. As long as I'm sort of medium, that's fine. I just don't want to be really underperforming. So even if there's an AI bubble right now, and I know there's a bubble, I don't want to sell my AI stocks because if the bubble continues to inflate, I don't want to be the muppet to still out of AI and missing out on this big boom. And so if you do that, then you're actually not doing what your clients are paying you to do. Your clients have chosen to buy an active fund because they don't want to just passively hold the market portfolio. So you need to have conviction.

And to move away from the benchmark, otherwise you're just giving them the same as an index fund with what fought for a much higher fee. So there is a measure called active share, which was invented by some academics nearly 20 years ago. And what they found was that this active share was generally correlated without performance. So funds which were having conviction to deviate from the benchmark, why? Because they're using their specialist knowledge. Even if that specialist knowledge is across different industries, they are still deviating from that benchmark by buying high culture firms or firms with strong intangibles. If you're using that expertise, you're going to be moving away from that benchmark. And so the ones who are inactive, who are hugging the benchmark are the ones who are not using any expertise at all. They're just overcharging you. So that active share is potentially a proxy for that people could use when they're evaluating fund of like how much conviction these managers have or to the extent to which they're just kind of managing their professional risk by hugging the benchmark as opposed to delivering what you're looking for as an active investor. Absolutely. So it highlights who are the ones who are actually managing for their clients, which does involve if you have unique insights acting on the inside and who are the ones who are overly conservative and just trying to manage their own career risk.

Of course, we don't want to take this too far the other way because we know good hearts law when a measure becomes a target, it seems to be a good measure. If you have no unique ideas, don't just be active and deviate from the benchmark just to improve your active share. And so this is why what's really important when evaluating funds is to see, well, what is their expertise? Do their active positions reflect what they claim their expertise to be? And if so, great. But if not, maybe they're just trading for the sake of trading. What do you think about you know a benchmark that's kind of more old-fashioned that says well, you know the the equity risk premium is let's call it five percent above cash So cash is three. I'm looking for eight percent and it's an absolute return fund. I'm you know scouring the world and Don't evaluate me on performance this year or next year evaluate me over a long horizons on whether I can do better than the market And is that something that you find?

compelling or is that something that you think is you know people should avoid. Because that's more like what a Warren Buffett would say right. It depends on how you're doing better than the market because we know from basic finance theory you can do better than the market by just taking on more systematic risk. So if I am having a beta of 1.5 I should be delivering a 1.5 times. greater excess return. So again this is why benchmarking does have some sensibility behind it. We want to look at your alpha which is your outperformance after taking risk into account rather than just your raw unadjusted for risk outperformance. But if indeed what you're doing is you are able to capitalize on markets in which you think there is an equity premium and that equity premium is more than what it should be given the level of risk, then there might be a reason to reward you for that. So what are we doing by this? So the equity premium puzzle is the following idea. So stocks have outperformed treasury bills over any reasonable length of time. For example, if we look at the last 10 years up to December 2025, I think the Teeble average return was 2%, and the S&P 500 was about 15%. So that difference is 13%, maybe on other time periods it might be 7%. Now, some people will say, well, that is just due to risk, that there's no free money on the table, people don't like risk and that's why the S&P 500 needs to give you a higher return. But actually, when people run the numbers and they put into them any reasonable number for risk aversion and risk appetite the equity premium should be something like three or four percent not seven percent. So the stock market over any reasonable period does offer good value and so one argument is that well a fund if it just goes for risk by buying into markets with high equity premium that is a way that they can legitimately add value for your clients. Now If your client was able to replicate it themselves just by buying index funds in those individual markets, then you would not be adding value. But if your client was sort of very unsophisticated and not able to pick out foreign markets for some reason, there is an argument for maybe if you're buying a globally actively managed fund, that active fund could go into particular markets where it thinks the equity freedom is particularly rich.

Let's talk about some of the kind of specific effects that you go through in your book. Momentum is one that you spend a lot of time with. Momentum is, you know, essentially trend following and that's something that we see working through, you know, we see it in stocks, we see it in bonds, we see

it kind of cross-sectionally between stocks, we see it in a time series basis. It's a very strong effect

The tricky thing, of course, with momentum is that it has periodic crashes that are very violent. And if you're a professional investor like I was and you were running momentum strategies, you can have multiple years of performance wiped out in a very short space of time. So the kind of holy grail with trend following strategies is, can you get out before the crash? And there's been some interesting research done over time on that, and you talk a little bit about that in your book. And I'm curious what you think the state of the art is with that, and is it even possible? In other words, is the crash risk part of the reason momentum makes money in the first place? So you really aren't able to just separate out the two.

Yeah, so this is a great question. So what is momentum? And what psychological bias does this try to exploit? The idea of underreaction. So even if we see some news, we might discount it. Why? Because of confirmation bias. we have our view of the world and any news that challenges that view, we just down wait it because we don't like it. So let's just give an example. So in 2006, Amazon quietly launched what ended up being Amazon Web Services. But back then, people never saw Amazon as being this cloud computing company. They thought, well, you buy books and CDs there. What is it doing playing in web services? So it was only until only when it hit 2015 and Amazon Web Services actually reported their income separately that people finally cottoned onto it being really valuable. And so if we indeed ignore information, there is a simple strategy of buying stocks that have done well over the past six months and shorting stocks that have done badly over the past six months. Why? Because a stock that has done well recently had some very good news.

but the market only thought it was moderately good and so it underreacted to it. And over any reasonable time period, people have found that momentum typically outperforms. And interestingly, this is not just in the US, it's around the world. It's not just in equities, but it's in bonds and currencies and virtually any asset glass, which points to human psychology being a common driver, because it doesn't matter whether you're a Latin American commodities trader or an American equities trader, you're all

affected by confirmation bias and underreaction. But as you say, there is a danger which is when momentum loses, it loses really, really badly. Now, fortunately, you can foresee these momentum crashes. And as I described in the book, there's a really good study by two professors who also double up as investors for AQR and Golden Sacks. What they found is that when VIT which as the volatility index is high, momentum is typically going to be underperforming, so this tells you when to get out of momentum. Now, it is not a perfect predictor.

And sometimes it may well be that momentum crashes unexpectedly, and that may well be the secret to answering your question. Why, even though momentum was first discovered in 1993, is it still alive and well 33 years later? Why don't people exploit the free money on the table? Because people are worried about these crashes. Now, if I go back to our early discussion on career concerns, even if it's a strategy which will make money 99% of the time you're just weirdly worried about that 1% of the time where if it crashes you're going to be out of a job even though it would be in your client's interest to invest in momentum. Why? Because your client probably is not just invested in your fund, they're investing in lots of other funds, so they don't worry so much about your fund crashing because they're diversified. You, as a fund manager, you're not diversified. Your entire reputation is tied to this one fund and so you might be excessively conservative and not pick up the free money on the table.

And again, this is why going back to one of our earlier conversations, why I think I can make the bold and controversial claim that perhaps sometimes amateurs might be able to beat the market more easily than professionals, because if you are unconstrained and you're not worried about external clients, you might be able to exploit momentum because you don't worry so much about a crash. Yeah, I think I agree with that. talking a little bit more about momentum, there was one area where, well, I think I didn't agree with you. And that was when you talk about, you know, this notion of corner strategies, which is actually funnily enough what we used to call them too. But the idea that, you know, you've got momentum works across the market, but let's say it works particularly well, if you filter down just a small caps, and then within small caps it might work particularly well if you filter further down to say, small caps that have negative earnings. Let's just

say that's the case. And so the more you apply these layers, you get to quote, unquote, corners of the market where momentum is potentially very strong. And as a professional investor, we were very well aware of these corner strategies, but they're not really exploitable in any kind of scale. It's very difficult to put a lot of money to work if you're layering on three, four, five different types of filters because you get a small number of stocks. That's number one. Number two is you get increasingly less statistical confidence in the result the more you narrow down the sample space. My thinking was, well, maybe these corners are an area that are more suited to individuals who don't need to put a lot of money to work.

they individuals might not have the sophistication to identify the corners. But it seemed to me that that might be another area where, I don't know, sophisticated individuals or small funds could play that big investors couldn't. I don't know, how do you think about that? Yes, you're absolutely right. So what momentum is what I call a level one strategy? So what do I mean by this is we find a behavioral bias and we see how to exploit it. So if the bias is that people underreact, Then we want to buy recent winners because those are stocks to which the market has underreacted. But then we can think about what I call a level two strategy, which is where is that bias more prevalent? So we think about, well, why is it that people underreact to information? Well, maybe they just don't even notice the information to begin with. Why? Because what do we see on Bloomberg, on The Watery Journal? We see coverage of the Magnificent Seven or with AI stocks or large companies like Amex and Goldman Sachs.

And so there's a small company which has had some great news, we're less likely to notice it because it's not hitting the headlines. And so the level two strategy is we play the momentum game, but particularly in small stocks and stocks with little analyst coverage. And if indeed it is the case that large professional investors are unable to play that level two strategy, why? Because small stocks are less liquid. then this is another reason for why individual investors, which don't have so much of a constraint, they might be able to outperform. Okay. So it sounds like we're philosophically in agreement on that. I want to maybe talk about another area where I had a question of how maybe individuals could use one of your research findings. So you talk about this fixation with round numbers that we get unusual

price movements when stocks move above or move below a round number like 50 a share or 100 a share. So I was wondering if you could explain what happens around these large numbers. And no one asked a question about whether there's an implication for people setting limit orders when they want to buy or sell stock. For another reason, can they use that round number effect to kind of help them be a little smarter about doing that. Yeah, absolutely. So let's do this with a numerical example. So let's say I buy a stock and it's coming at 80. I might think, well, my price target is 100. Let's try to let's sell it at 100. And I'll put a limit order to do this.

it may well be because other people like these round numbers it's actually difficult for it to hit this 100 because if other people have put these limit sell orders there it might be that those sell orders get satisfied first and that drives the stock price down because of the selling pressure it never really hits there. So what I do with my own limit order selling is I might put the the sell at say 99.9. Why? Because It doesn't really matter to me much emotionally if I sell for 99.9 versus 100, once I realise that the round number is just some false barrier, and it meets it more likely that I will get my order filled. It's also the same on the buy side, so I've actually put a buy order in for a fund where I put it in at 12510, not 12500, Why? Because that's again around random. So it may well be that if the fun price goes down, it might not hit 12,500 because other people have put the buy order. So what I want to do is front run. I want to get in before other people get in or get out before other people get out. I catch it. Okay.

So, you do use this effect in your own? Yes, I did it myself and there was a fund which I had sold at 13,990 and I think it's going to go down again. So, that's why I put a buy order at 12,510. Okay. Maybe one last thing to talk about is the disposition effect. So you explained what the disposition effect is and then you had a fix that I really liked. So I was wondering maybe you could walk us through that, what the disposition effect is and then what your quote unquote fix for it is. Absolutely, so the disposition effect is such a common phenomenon in finance and it's such a big mistake but it's so human and it's something where people understand why it happens. So what is this? It's the idea that we're really reluctant to take losses and we really want to lock in winners. So if I bought a stock for 80 and it bumbles around and it's now 75, I really don't want to sell it.

Why? Because then I have to admit to myself that I've made a loss and even if I think it's going to go down to 60 I hold on just hoping it's going to get above 80 and then when it hits 80 then I'm going to be selling. And this is exactly the same that you might do with a casino. If I've lost 50 I will keep playing and playing and playing until I recover that 50 because I want to come out at least break even even if it means throwing good money after bad. Why is this such bad behavior? Because of momentum, which we discussed earlier, if something has done poorly recently, if it's gone down from 80 to 75, it's likely to continue to go down in the future. And similarly, if something has gone up recently, it's likely to rise. But because I want to lock in again, I might sell the stock at 90, even if it's heading up to 100.

And that's bad not only because of momentum, it's also bad for tax reasons, because if I sell a winner, I'm immediately locking in a tax capital gains tax that I need to pay today. So what is the solution to this? Well, one solution would be to say, just ignore the purchase price, ignore the disposition effect. And if you were really strong-willed, you might be able to do this. But not everybody is strong-willed. It's just like to say only one Pringle that is really hard to put into practice, even that makes sense in theory. So what I explore in the book is a more realistic solution, which is the idea of rolling your stocks over. What do I mean by this? Because if I was to sell my stock in Tesco for 75, after buying at 80, and immediately we invest the proceeds in Vodafone, I actually don't view myself as exiting that position because the trade is still live. I've just rolled it into a different investment. And indeed, in my Excel spreadsheet, I would have invested 100, say maybe 10,000 pounds initially. It's gone down to 9,000 pounds, but I still know that my 9,000 pound investment is still carrying on.

and I'm not going to close out that position until I've sold Vodafo. So by rolling on a stock into a new stock, I actually am able to take losses because I don't need to admit defeat to myself because I've still kept that position going on. And indeed, there's a really clever study by some people which found that rolling on your position is a way of overcoming the... the disposition effect that you might have otherwise satisfied and suffer from. Yeah, I thought that was a very clear explanation both in the book and right now and also a fix that I think we can all put into practice. So, you know, kind of while we're on that notion of fixes or things that individuals can do

to take advantage of some of these ideas, I thought maybe we could focus a little bit more on that. You have a really nice summary at the end of the second chapter, which I thought maybe you could walk through. And it's really kind of three things that individuals can do to avoid some of these, avoid trading on emotion. And one is don't check your portfolio too much. And two is write down the reasons you're planning a trade.

and write down not only what the world looks like if it works, but also what the world would look like if it doesn't. And then three, pay attention to your mood when you make a decision. So I was wondering if you just give us the rationale for those three things. I mean, I think we've actually covered some of those ideas. And yeah, talk us through those three things. Absolutely. So let's start with a don't check your portfolio too much. And go back going back to my earlier comment that behind every bad behavior, there's a grain of sensibility behind it. So we often say, you snooze, you lose, the markets are fast moving, you should always be responding to information. And so this will encourage us to always check our portfolio and always try to read the news to see should I be increasing this position or cutting back that position.

But what we don't realize is that, well, if there's news out there such as an earnings announcement, maybe somebody else has already responded to that and it's already more than priced in. So if we're trading on information, it may well be that we're trading on old news. We're buying high because we're buying after the stock has already risen and we're selling low, which is the opposite of what investors should be doing, which is buy low, sell high. So. If we are to not check our portfolio too often, which is actually advice that Warren Buffett gave, we're more likely to be investing on long term factors such as the market being in our downturn in 2009. And I'm going to be willing to wait five or 10 years for it to recover rather than short term things which might have already been priced it.

The second bit of advice is to always try to take the opposite position to the trade that I want to make. So if right now I wanted to say, well, let's buy into an AI fund, why? Because AI is the future. I've seen just how powerful AI is in my own life. Well, let's try to find reasons for not investing in AI. I could be looking at the valuation ratios and saying, well, actually, the price

earnings ratio here is extremely high. And if I'm not able to come up with that myself, I could use AI to help me. I could ask ChatGBT, give me reasons for why I should not be investing in an AI fund right now. And this doesn't mean that we should always be inert.

and not taking any decision. But it does mean that when we take a decision, we will have seen both sides to it. It's just like if I want to buy a house, I want to make sure a survey is done to see whether it's structurally sound. This is just good due diligence. And I think we should treat any investment decision with the same seriousness as you would do an decision like buying a house or buying a car. How important is it to write down those both sides of it as opposed to just like, oh, I'll do a Google search. I'll do a chat GPT search. We had Annie Duke on the show who I know gave an endorsement to your book and she talked about this idea. And I believe if I'm correct, she said, you really, you want to go through the exercise but you actually got to physically kind of write down what the world looks like in both your, when you're right and when you're wrong and then go back and kind of keep checking.

Does the world still, you know, is it getting closer to one of those two scenarios? Is that bit important in your mind or is it more just, hey, think it through both sides carefully? I think it is very important. I think it's important on a number of levels. First, at the time that you make the investment decision, writing it down is really useful to make sure that you've done that process really carefully. So rather than just think in my head, oh, yeah, I know that a danger might be that there's overvaluation. If I've written down. I think AI may I'm concerned that AI could be overvalued why because the price earnings ratio is 50 and typically you might think it should be 30 or something else. This just makes sure that you are taking it seriously.

Also, writing it down, make sure that you are actually internalising the information and it's going to be affecting your decision. This is why when you're going to a lecture at university, taking notes is really useful. Even if those notes end up catching on fire, the actual act of taking notes makes sure that you're more likely to be understanding and internalising information. But also writing down is useful after the fact. Why? Because if

the investment decision went south afterwards, then you will be able to go back to it and say, well, was this because my investment thesis was wrong? Because often what we do is we want to blame external factors. You might say, oh, my thesis was sound, and it's just that the markets went crazy because Trump made a trade announcement.

But actually, if you said, oh, my view is that, well, this stock, these valuations are high, but I think they could be further AI growth. And actually that ended up not transpiring. Then you can look at the outcome and compare it with the original rationale that you made for it. You know, after I had her on the show, I started doing, I actually started doing what she recommended, which is I rarely follow through on things like that, but I did and what I found was because the process of writing down your positive thesis, your negative thesis, she also recommends you put down kill criteria, which is specific things that happen that are going to make you close that trade, that was like an involved process.

And because it was so involved, I found I didn't check my portfolio as much because I didn't want to go through the whole process of thinking about a new trade in that same level of detail. So maybe that's just my personal laziness, but I'm wondering if those two things are related. Yeah. And I think it dovetails with with advice that give people give for just general good behavior and good habits outside of investing. So so while my book is about investing, investing is just the setting. It's about good decision making in general. So when people say you want to develop a good habit, actually keeping score is really valuable. So if my habit is to be I'm going to check my phone less.

What I used to have was a scorecard where at the end of each day, I had to write down the number of minutes that I had checked my being on my phone because you can look at this on Apple screen time. And every day I would write down that number. And in a particular day, the number was 105. I think, what was I doing all that time? And yes, I could look at the end of the day and see it was 105. But I just feel more embarrassed when I write down it was 105. And I see, well, yesterday it was only 72. Also, you might think, oh, I want to do 30 minutes of cardio vascular exercise today, and I'm going to put a tick when I do it. But if I don't do it, I don't just leave it

blank. I'm going to put a cross. Just say I have failed to myself. And that's something that people teach you in terms of developing habits is whenever you can even write it down and put feedback and you're more likely to internalize it. But let me ask you one more question. And all this, by the way, is coming from this last section of book, which I really like.

which you call turning madness into money. And I think that's one of the, I think really valuable aspects of your book is that you end with these, I think it's 20, you know, kind of the tools that I think individuals can take away. But one of them, which also goes back to Andy Duke would recommend is called outsource the ugly decisions. And I think in her framing, it's like, hey, people tend to be better at the buy decision than the sell decision, so you need someone external to yourself to basically pull that trigger and to do the sell. You tell them when you want, you know, why you put the position on and when it's going to go wrong. You set the kill criteria and they kill it for you. Is that what you had in mind with outsource the ugly decisions and Do you do that yourself? Do you have someone who makes the ugly decisions for you? Yeah. So this is to try to overcome the idea of the disposition effect, which is it's difficult for you to reverse a losing position. Why? Because you are that you don't want to admit that you made a mistake. And so it may well be that I'm going to invest in a single stock, let's say Goldman Sachs right now at 100, and I will ask maybe my spouse to review it for me. And if she thinks, oh, actually, it's gone down too much and it's going to go down even further, she will, I might not.

Delegate it fully to her by allowing her to sell, but she is able to tell me, Alex, you need to get out. Similarly, within a company, it may well be the risk manager or the chief investment officer's office, which is saying, well, I'm going to be telling you when to get out of this. So the big question is, do I do it myself? And I might say no, and you might think, oh, this is crazy. How can I read the book of somebody who doesn't follow his own advice? But the reason was I invest very little in single stocks to begin with. Why? Because I believe in the power of diversification, I invest most of the money within either passive index funds or actively managed funds where I believe the fund manager has a lot of skills such as Telenova Capital. But I do implement the principle in other areas of life, which is similar to the idea that financial markets are only a laboratory for decision making more

generally. So whenever I write a book, I will try to send it to other people and say, just please tear it apart as much as possible. Why? Because yes, I will review it myself many, many times, but I'm very unlikely to completely scrap a section because I've thought, well, I've spent a day of my life writing this section or this chapter. Even though I, yes, I edit something, I might just change this word or the sentence. I'm not going to be cutting out a whole story. So I'll send it to some me with the explicit request, can you tell me which of the sections is just not pulling their weight, completely get rid of this? And so those ugly decisions I will send to other people. For my last book, which is the first book I went with an agent because it was published with Penguin Random House, a mainstream publisher, out of all of the agents that offered me representation, I went with the most negative.

agent, the one who was the most critical out of my proposal. There were other agents who said, oh, you're probably these proposals. Great. We can send it off to publishers right now. But I thought, well, this is the guy who will be able to improve my proposal by much, by the most. And so he did the ugly decisions for me and said, oh, this really is not earning its weight and this needs to be improved. And so I will try to apply this in many other areas of my life. Nice. I appreciate that. Maybe we can wrap up by just talking very briefly about the kind of current situation. There was a number of things in your book that I think are relevant or potentially relevant for what's going on today. One of them is what you call the big market delusion. And I was wondering if you could explain to us what that is. And then what's your view? Are we seeing this net, this big market delusion in the form with the AI hyperscalers. Are they falling victim to the big market delusion or investors in pricing the hyperscalers falling victim to that? Certainly. So I'll first explain what the big market delusion is and then apply it to AI hyperscalers right now. So the big market delusion is the idea that when there is excitement about a new technology, often the prices of every company within that industry will rise up significantly so much so that if you added all of those companies together you'd get a valuation of the industry which is just implausible so the numbers just don't add up so in early 2020s if you were to take the value of the electric vehicle industry adding up NIO and Tesla and X-Peng and so on, you got a combined valuation which was even higher than the traditional car market. And that was about five years ago, but when electric vehicles were still nascent. Now

it is indeed true that one of those companies may well succeed and take over the world and become extremely valuable, but the market was pricing the industry as if every single company would be a winner.

And there's an adding up constraint. Not every single company can become a winner. Not everybody can get gold medals. And so the whole industry was being overpriced. And why might this be? It might be the fear of missing out. You don't want to just own Neo and Tesla because what if BYD ends up taking the lion's share of the market? And so then if you apply this to AI right now, even though, yes, AI will absolutely be the future, not every AI-Kaipa scaler will win. It may well be that some of them ended up over-investing or investing in the wrong staff. So this is why I, myself, reduced my position in AI and tech more generally about six to nine months ago. And so I don't know whether this will be a good decision in the long term. Certainly I'm not unhappy that I've exited from that. Also, I know that my immediate investment objective is that I have a large mortgage coming up for refinancing about one year from now. And because I the AI in my portfolio done so well, I wanted to lock in those gains. So I'm not so worried about missing out on perhaps future gains by not selling at the absolute top because I know that it had had a really good ride. What I want to avoid is if we are in a bubble, if we are in a big market delusion and the whole market then turns south as it did for electric vehicles in sort of 2022-23.

Cool. Well, I appreciate that. And I appreciate all the stories. This is a really fun conversation. We could easily keep it going, or at least I could. You probably have a day job to get to. But that's a good place to wrap up. Alex, thanks so much for taking the time to join us and to share your research, and we wish you the best of luck. You're very welcome, Kevin. Thank you so much for having me on. Really enjoyed the conversation myself. Okay, the book is called The Madness of Markets, Why Smart Investors Make Crazy Decisions and How to Exploit Them. It's out now, so please make sure to get a copy and to follow Alex's work. As always, what we've discussed today really is just scratching the surface of what you'll learn from the book. So that's it for today. For all of us here at Top Traders Unplugged, thanks for listening and we'll see you next time. Thanks for listening to Top Traders Unplugged.

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